CaseBlitz

ASCEND CD6W-JBSY



150M Young Indians Are Not Credit-Unworthy, They Are Structurally Invisible To Legacy Underwriting Algorithms.

8/10 Denied

REJECTION RATE:
A Disciplined ₹8k/Mo Student Leaves No Bureau Footprint; Legacy Models Treat Them The Same As Lifetime Defaulters ("-1 / NH").

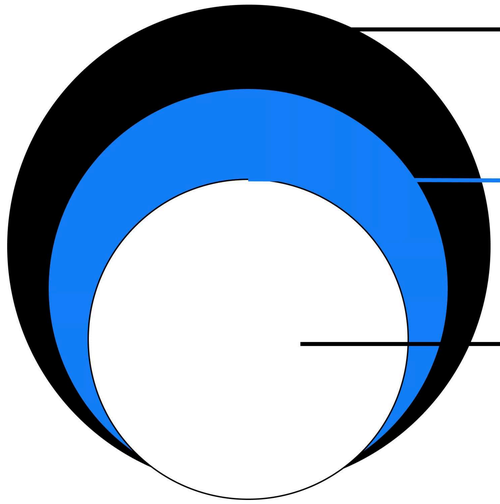
33% Cohort Fail

TECHNICAL DEFAULTS:
Student Allowances Arrive In Irregular Intervals. Rigid Month-End Bills Cause Accidental Bounces Rather Than A Genuine Inability To Pay

36-60% APR

PREDATORY APP
Instant Lending Apps Monetize User Struggles Instead Of Improving Financial Health, Destroying User Credit Scores Before Their Careers Start





TAM
150 Mn
(Population Of India Aged 18-24)

SAM
1.1 Million
(No Of 18-24 Year Olds In Pune)

SOM
0.4 Million
(No Of Students In Pune)

NA/NH

WHAT IS NA/NH?
Having No Credit Score Is A Lack Of Information, Not A Rejection Mark. The Person Is Simply "New-To-Credit"; Awaiting Their First Trade Line

79%

THE 750 CIBIL THRESHOLD
79% Of Approved Institutional Cards & Retail Loans Require A 750+Score. Ascend's 12-Month Ladder Is Engineered To Hit This Exact Goal

Beachhead



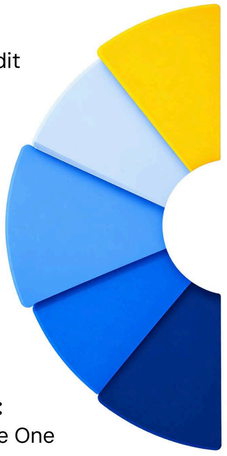
Aarav, 19
Pune

- ❑ Thin-File
- ❑ First-Time Borrower
- ❑ Already Tried Instant Credit
- ❑ Unaware About The "CIBIL" Score

Need:
Needs A Laptop For Video Editing

Why Aarav First

1. **Doesn't Know CIBIL :** Ascend Teaches Credit Through Usage
2. **Predatory Instant Credit :** Ascend Provides Responsible First Credit
3. **Irregular Income:** Ascend Assesses Real Repayment Capacity
4. **Poor Credit Exposure:** Ascend Builds Responsible Repayment Behaviour
5. **No Credit History:** Ascend Helps Create One



The Ascend Progression Ladder: Produces Bank-Grade Prime Assets

STAGE 1: DAYS (1-30)

Micro-Savings Habit Loop

₹20 / Day

₹600 Pot Accumulated (30-Day Liquidity Buffer)

- **Automated Daily Round-Up:** Executed Via UPI AutoPay With Zero Manual Transfer Friction.
- **Liquidity Stress Test** 0 Mandate Bounces Across 30 Days Shows Cash Management Habits From The Start..
- **Zero Credit Deployed:** Filters Out Impulsive Defaulters Upfront With ₹0 Balance-Sheet Loss.

Stage 2: Collateral Bridge

Secured FD Credit Card

₹2,000 FD

Lien-Backed Secured Credit Line With Partner Bank

- **Pot Transition:** Saved ₹600 + ₹1,400 User Top-Up Creates Digital FD With Partner Bank.Further Saving Can Also Be Done
- **Virtual Card Issuance:** Generated In <60s; UPI Credit Rail Activated Natively.
- **First Bureau File:** Partner Bank Registers Tradeline With CIBIL.

Stage 3: Prime Graduation

Unsecured Credit Line

₹5,000 Line

Pre-Approved Unsecured Facility & Tier-1 Bank Handoff

- **Weekly AutoPay:** Micro-Tenures Match Irregular Pocket Money; Kills 30-Day Bill Shocks.
- **100% FD Refund:** Initial Deposit Unpledged And Returned With Accrued Bank Interest.
- **B2B Bank Handoff:** Sells Primed User To Tier-1 Banks For A ₹1,500–₹3,000 Bounty.

Why Micro-FD First?

100% Lien Collateral Eliminates Bank Credit Risk, Guaranteeing Cardapproval Without Salary Slips Or Parental Co-Signer

Pass Criterion: 30 Clean Days Unlocks Stage 2

Secured Starter Debt

Credit Bureaus Do Not Penalize Collateralized Tradelines; They Record Them As Active Revolving Credit Facilities.

Pass Criterion:Transforms Blank -1 File To Active Tradeline

The DPD Asymmetry

Overdue Payments >3 Days Drop Scores By 80–100 Pts. WeeklyAutoPay Background Debits Keep Portfolio Strictly At 0 DPD.

Outcome: High LTV Borrower Graduation



Underwriting Architecture, Trade-Offs And Deliberate Omissions

Layer 1: Data Pipeline

Identity & KYC

Digilocker Aadhaar E-KYC Verifies Legal Adult Age And Address. Meets Partner Bank Compliance Requirements.

PAN & Bureau Matching

PAN Validation Holds Down Bureau Trade Lines, While Also Helping Avoid Duplicate Profiles.

Negative Hygeine Check

Verifies Zero 180-Day NACH/UPI Mandate Bounces In The Primary Bank Account Prior To Stage 1

Layer 2: Strategic Balance Scale

1 30-Day Savings Gate

Benefit	Cost	Mitigation
Establishes Financial Habit And Eliminates Early Default Risk	Creates Churn Among Uncommitted Applicants	Intentional Friction Wards Off High Risk Borrowers

2 FD-Backed Secure Starter Credit

Benefit	Cost	Mitigation
Guarantees Bank Approval And Establishes The Initial CIBIL Tradeline	Requires Capital Top-Up, Or Gradual Saving Over A Long Time	Individual FD Earns Bank Interest In User's Name

3 Weekly Repayment Mandate

Benefit	Cost	Mitigation
Prevents 30-Day Lump-Sum Bill Shock	Higher Debit Frequency Risks Bank Bounce Fees If Balance Runs Low	Auto-Pauses To Prevent Fees, Providing A Non Invasive Plan

Layer 3: The Exclusion Wall

No Risky Cash Expenditure

Card-Bound Spending With Merchant Gating (Gambling/Crypto Blocked) Prevents Cash Leakage

Privacy Respected

DPDPA-Compliant DigiLocker Verification Avoids Privacy Violation And Invasive Permission Requests

College Pedigree Independant

Eliminates Bias From University Tiering; Evaluates Purely Historical Repayment Data

No Viral Growth Hacks

Removes Viral Growth Complexity To Focus 100% On Underwriting Quality And Risk Filter Precision

Zero Balance-Sheet Risk: Cutting Out The Middleman

ENDPOINT

Borrower UPI Account

STUDENT / USER WALLET

- Zero Funds Routed Via Intermediate Apps
- Direct Daily ₹20 UPI Debits & Settlements

100% DIRECT FUND SETTLEMENT RAIL

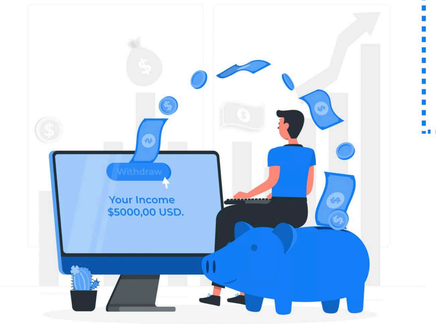
No Pooled Accounts · Lien Deposit & Line Settlements Move Direct

LICENSED RE

Partner Commercial Bank

SCHEDULED COMMERCIAL BANK (SCB)

- Holds ₹2,000 Micro-FD Lien On Core Books
- Issues Virtual Credit Card & Reports To Bureaus



Read Only Telemetry Feed

LENDING SERVICE PROVIDER (LSP)

Ascend Technology Interface

- Pure Technology Layer: UI/UX, Habit Gamification & Behavioral Scoring Only
- Zero Intermediate Accounts: Never Pools, Touches, Escrows, Or Holds Funds

Underwriting Signals Only



Real-Time CUR Gauge (<30% Limit)

In-App Nudge: “Utilization Is 48%; Deposit ₹600 Prior To Statement Date To Reduce It To 28%.”
Core Mechanism: Commitment Through Weekly Sub-Cap Set By User.
Pilot Metric: Conversion To Action By Nudge And Percentage Of Cohort Having Less Than 30% CUR.

Non-Coercive "Slip Protocol"

In-App Nudge: “Missed AutoPay: No Late Fees Of ₹0 Or Impact On CIBIL Score. Divided Into Two Micro-Payments Over 14 Days.”
Core Functionality: Non-Punitive Micro-Restructuring; Breaks Chains Of Default And Panic Churn.
Pilot Metric: 7-Day Self-Cure Rate (Keeps 30+ DPD Defaults Under 1.5%).

Negative Hygiene Check (0 Bounces)

Nudging Within The App: "30-Day Streak With 0 Bounces: Verified Cash Hygiene Replaces Salary Slips."
The Core Concept: The Empirical 30-Day Liquidity Stress Test Screens For Systemic Default Risk.
Test Metric: Completion Of 30-Day Streak Against Repayment Performance In Stage 2.

Merchant Guardrails

Nudge In-App: “Crypto Trading & Betting Are Prohibited, And The Credit Limit Is Reserved For Necessities.”
Gatekeeper Mechanism: Gateway Level Switching Lock Prevents Any Speculative Loan Debt.
Pilot Metrics: Blocked Transaction Attempts, FPD Rate.

Ascend’s Viability Depends On Credit Graduation, CAC Discipline, And Merchant Monetisation



Leading 1
Always On Time = % Of FD-Card Users With Zero 30+ DPD In 12 Months

Leading 2
CUR Below 30% = % Of FD-Card Users Whose Reported Utilisation Stays Under 30% In Every Cycle

North Star
750+ At Month 12 = % Of FD-Card Users With A Score Of 750 Or More

Risk Metric
90+ DPD On The Stage 3 Line = % Of Stage 3 Users Reaching 90+ DPD

Business Metric
Revenue Per Onboarded User Vs CAC = $\frac{\text{Revenue Per Onboarded User}}{\text{Blended CAC}}$

	Base case	Improved case
Bounty / graduation rate / CAC	₹2,000 / 50% / ₹150	₹2,500 / 60% / ₹120
Revenue	₹19.8 L	₹27.5 L
Variable cost	₹23.2 L	₹20.2 L
Contribution	−₹3.4 L (−₹34/user)	+₹7.3 L (+₹73/user)
Break-even bounty	₹2,438	N/A
Credit loss within 5% guarantee cap?	No	Same

BUSINESS MODEL

Co-Brand Merchant Interchange:
A Small Portion Of The Merchant Discount Rate Collected By The Partner Bank On Each Transaction.



B2B Credit Graduation Bounty:
2000 Rs Referral Bounty Per User Graduating To A Prime Bank Card At 750+ Cibil

Viability Is Conditional:
We Break Even At A Bounty Of About ₹2,438, A Graduation Rate Of About 50% Or More, And A CAC Of ₹150 Or Less.

The Largest Risk: The **Bounty Is Unverified**. Our Pilot’s Job Is To Test It With Partner Banks And Measure The Graduation Rate.

APPENDIX

The Excel Screenshots

P&L Statements

Cost / P&L line (per cohort onboarded)	₹
CAC	₹1,500,000
KYC and onboarding	₹300,000
User-months	33,163
Ops and support	₹331,634
Credit loss (guarantee exposure)	₹94,248
Total variable cost	₹2,225,882
Total revenue	₹2,289,012
Contribution	₹63,130
Contribution per onboarded user	₹6
Revenue per onboarded user	₹229
Revenue / CAC	1.5x
Break-even bounty (₹ per graduate)	₹2,222
Stage 3 portfolio disbursed (₹)	₹3,366,000
Guarantee cap at 5% of portfolio (₹)	₹168,300
Credit loss within guarantee cap?	Yes

Sensitivity tests

Table 1: Contribution (₹) by graduation rate and bounty (CAC and default rate from Assumptions)

Graduation rate \ Bounty	₹1,000	₹2,000	₹3,000
30.0%	(₹1,297,272)	(₹812,568)	(₹327,864)
50.0%	(₹987,062)	(₹179,222)	₹628,618
70.0%	(₹676,851)	₹454,125	₹1,585,101

Table 2: Contribution (₹) by CAC (bounty and graduation from Assumptions)

CAC (₹)	Contribution (₹)
₹100	₹563,130
₹150	₹63,130
₹250	(₹936,870)

Table 3: Stage 3 default rate stress (bounty, graduation, CAC from Assumptions)

Default rate	Credit loss (₹)	Graduates	Contribution (₹)
4.0%	₹94,248	808	₹63,130
8.0%	₹188,496	774	(₹107,189)
15.0%	₹353,430	715	(₹405,249)

Cohort Model For 10,000 Users Onboarded, Over One Year In Pune

Future Viable Case

Improved-case lever	Value
Graduation bounty (₹)	₹2,500
Graduation rate	60.0%
CAC (₹)	₹120
Stage 3 default rate	4.0%

Line	₹
Revenue	₹2,854,500
Variable cost	₹1,932,344
Contribution	**₹922,156**
Contribution per onboarded user	₹92
Fixed annual cost	₹3,600,000
Users to onboard to cover fixed cost	39,039
Pune student pool (enter your cited figure)	120,000
Required users as % of Pune pool	32.5%

Sources For Preliminary Research

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2. Reserve Bank Of India: Master Direction – Credit Card And Debit Card Issuance
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5. RBL Bank: Policy For Credit Card Issuance And Conduct

Bureau & Official Industry Portals

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Why PUNE??

Evaluated On Basis Of 5 Different Factors

- Student Market
- Credit Opportunity
- Digital Native
- Irregular Income
- Lending Ecosystem

	Approximate Figure	What It Shows
Student Market	About 2.18 Lakh Students, 6.26 Lakh Aged 18-24	A 10,000-User Pilot Is About 4.6% Of The Pool. Your Improved Case Of About 38,000 Users Is About 17%.
Credit Opportunity	Under 10% Have Credit History	Applying The National Rate To Pune Gives Roughly 1.96 Lakh Students With No Credit History. Assumption
Digital Native	About 9 In 10 Have UPI	Assuming 1.96 Lakh Again No Verified Pune-Specific Figure.
Irregular Income	₹4,000-15,000 A Month, Highly Irregular From Influencing Activities	No Verified Pune-Specific Figure.
Lending Ecosystem	1,643 Commercial-Bank Branches	